Contact:
Lynda Kuhn
Senior Vice President, Communications and Consumer Affairs
416-926-2026
www.canadabread.ca

CANADA BREAD REPORTS SECOND QUARTER RESULTS

Commodity Prices Pressure Earnings; Improvements Expected in 2nd Half '08

Toronto, Ontario – July 24th, 2008 – Canada Bread Company, Limited (TSX: CBY) today announced its financial results for the second quarter ended June 30, 2008.

- Adjusted earnings per share of $0.30 compared to $0.84 last year, as high wheat and fuel costs outpaced price increases
- Stabilization of commodity markets and pricing expected to improve earnings in the second half of 2008

Note: Adjusted earnings per share measures are defined as earnings per share before restructuring and other related costs.

"High commodity prices continued to have a significant impact on our margins and financial results," said Richard Lan, President and CEO. "We believe these effects, while material, are short-term with improvements to come in the second half of the year as markets stabilize and we continue to pass on costs by way of price increases to offset the effects of commodity inflation."

Financial Overview

Sales for the second quarter increased 16.4% to $437.4 million compared to the same period last year due to higher selling prices and contributions from acquisitions. Excluding acquisitions, sales increased by 8.9% compared to last year.

Earnings from operations before restructuring and other related costs ("Adjusted Operating Earnings") were $12.4 million for the second quarter compared to $34.0 million last year. High wheat, fuel and other input costs compressed margins as price increases implemented earlier in the year were not sufficient to cover these rapid cost increases. Management anticipates that a decrease in wheat prices from new crops, due to be harvested in August, and improved supplies will lower costs toward the end of the year and restore

margins. As the rest of the year progresses, any further inflationary increases, such as energy, or unanticipated increases in the cost of wheat will be managed by further price increases.

Net earnings before restructuring and other related costs for the quarter were $7.5 million ($0.30 per share), compared to $21.2 million ($0.84 per share) last year. Year-to-date earnings per share, on a comparable basis, were $0.81 compared to $1.60 last year.

Following is a summary of net earnings and earnings per share ("EPS") before restructuring and other related costs ("Adjusted EPS"):

($ millions)	Second Quarter			Year-to-Date		
	2008	2007	Change	**2008**	2007	Change
Net Earnings	**$ 6.5**	$ 21.2	(69.2%)	**$ 18.7**	$ 39.1	(52.1%)
Restructuring and other related costs, net of tax	**1.0**	-	-	**1.9**	1.5	26.9%
Net earnings before restructuring and other related costs (i)	**$ 7.5**	$ 21.2	(64.5%)	**$ 20.7**	$ 40.6	(49.2%)
Adjusted EPS (i)	**$ 0.30**	$ 0.84	(64.5%)	**$ 0.81**	$ 1.60	(49.2%)

(i) These are not recognized measures under Canadian GAAP. Management believes that this is the most appropriate basis on which to evaluate results, as restructuring and other related costs are not representative of continuing operations.

Business Segment Review

The following table summarizes Adjusted Operating Earnings by business segment:

($ millions)	Second Quarter			Year-to-Date		
	2008	2007	Change	**2008**	2007	Change
Fresh Bakery	**12.5**	25.8	(51.7%)	**25.1**	47.8	(47.4%)
Frozen Bakery	**(0.1)**	8.2	(100.7%)	**6.8**	16.2	(58.0%)
	12.4	34.0	(63.5%)	**31.9**	64.0	(50.1%)

Fresh Bakery *(Fresh bakery products, specialty baked goods and hand-held snacks, and fresh pasta and sauces)*

Fresh Bakery sales for the second quarter increased by 17.8% to $287.6 million compared to $244.2 million last year, largely due to price increases and contributions from acquisitions, partly offset by reduced volumes. Excluding acquisitions, sales increased by 11.5% compared to last year.

Adjusted Operating Earnings for the quarter were $12.5 million compared to $25.8 million last year. This decline was driven by margin compression as price increases for fresh bread

and pasta were not enough to cover the increase in wheat and other commodity costs. In addition, costs related to marketing and innovation were higher than last year by 33.6%. During the quarter, the Company launched its *Smart* 100% Whole Grain Wheat bread nationally and also launched *Smart* snack cakes in Eastern Canada.

Frozen Bakery *(North American and U.K. frozen bakery products; including frozen par-baked and specialty bakery products)*

Frozen Bakery sales increased by 13.8% to $149.8 million from $131.6 million last year. This was a result of increased prices and contributions from acquisitions, partly offset by translation difference related to the weaker U.S. dollar. Excluding acquisitions, sales increased by 4.0% compared to last year.

Adjusted Operating Earnings for the quarter were a loss of $0.1 million compared to earnings of $8.2 million last year as a result of lower earnings in the North American frozen bakery operations, driven by wheat and other inflationary cost increases, including energy, that were not fully offset by price increases. These effects were partly offset by cost reductions related to operational and sales mix improvements. Earnings in the U.K. operations continue to track ahead of last year, benefiting from the contribution of acquisitions in new product categories. Bagel growth rates were slower in the first half of the year as production was curtailed in the Company's U.K. bagel plant due to an oven fire. Growth rates are expected to improve in the second half of the year as production rates and advertising and promotion activities will be restored in July 2008.

The North American frozen bakery operations are implementing changes to increase capacity utilization and improve margins. This includes the closure of a bagel facility in Toronto and the transfer of production to other regional plants. An expansion at the Company's Roanoke Virginia plant is also expected to be commissioned through the second half of 2008, improving product costs and reducing freight and distribution costs to supply regional customers.

Other Matters

On July 23, 2008, Canada Bread Company, Limited declared a dividend of $0.06 per share payable on October 1, 2008 to shareholders of record on September 8, 2008. Unless indicated otherwise, by the corporation, in writing at or before the time the dividend is paid, each dividend paid by the corporation in 2008 or a subsequent year is an eligible dividend for the purposes of the "Enhanced Dividend Tax Credit System".

Forward-Looking Statements

This document contains, and the Company's oral and written public communications often contain, forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the Management of the Company. Such statements include, but are not limited to, statements with respect to our objectives and goals, as well as statements with respect to our beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate", and variations of such words and similar expressions are intended to identify such forward-looking statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict. Therefore, actual outcomes and results may differ materially from what is expressed, implied or forecasted in such forward-looking statements. The Company does not intend, and the Company disclaims any obligation to update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

These forward-looking statements are based on a variety of factors and assumptions including, but not limited to: the condition of the Canadian and United States economies; the rate of appreciation of the Canadian dollar versus the U.S. dollar; the availability and prices of raw materials, energy and supplies; product pricing; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; adverse results from ongoing litigation; no expected actions of domestic and foreign governments and the general assumption that none of the risks identified under "Risk Factors" in the Company's 2007 Annual Information Form will materialize. These assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party industry analysts.

Actual results may differ materially from those predicted by such forward-looking statements. While the Company does not know what impact any of these differences may have on its business, results of operations, financial condition and the market price of its securities may be materially adversely affected. Factors that could cause actual results or outcomes to differ materially from the results expressed or implied by forward-looking statements are discussed more fully in the Company's Management's Discussion and Analysis for the year ended December 31, 2007, which will be available on SEDAR at www.sedar.com.

Canada Bread Company Limited, which is 89.8% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2007 sales of $1.5 billion and employs approximately 8,800 people at its operations across North America and in the United

Kingdom.